

the future without the desperate chances inherent in successful forecasting.

We approach the practical investing problem from two angles. First is so-called fundamental research. Let's now look at Contrary Opinion itself. I got to considering it last night. I began to wonder what made Contrary Opinion useful and what was the kind of Contrary Opinion we were interested in. For example: The sun rises tomorrow. I suppose that the general opinion is that the sun will rise tomorrow and it is obvious that here is not an opinion that we wish to be contrary to. Same way with opinions about the weather. Why? Because the opinion itself has no effect on the fact. The general opinion that the sun is going to rise, of course, has no effect on the sun rising, nor has the opinion on the state of the weather any effect on the weather. So may we not say that the test for usefulness of Contrary Opinion is the extent to which the opinion affects the fact under consideration. For example, in contrast to the sun and weather let us look at the stock market. Obviously the general opinion on whether the stock market is going up or down has a profound effect on the action of the market itself. The more unanimous the opinion, the greater the what might be called inverse effect on prices will be.

We approach the problem of investment first and foremost from a money-making point of view. We are not interested in fancy ideas and theories; we are interested in things that work. . . . Our almost religion is that we believe strongly in analysis of the present. The past is dead.

All right, let's take that rule; let's look at so-called fundamental research. What do we do? We send men out all over the country and they talk to company officials and others,